

3.6.2 Cash flow

Content	Additional information
• Importance of cash to businesses • Interpreting cash flow forecasts • Difference between cash and profit	Students should be able to: • understand the consequences of cash flow problems and the effect of positive cash flow • understand how and why cash flow forecasts are constructed • complete and interpret sections of a cash flow forecast (this includes an understanding of cash inflows and outflows, net cash flow and the opening and closing balance. Students are not expected to be able to construct an entire cash flow forecast) • evaluate possible solutions to cash flow problems, including re-scheduling payments, overdrafts, reducing cash outflow, increasing cash inflow and finding new sources of finance.